Esso Petroleum Company, Limited and subsidiaries
(Reg. No. 26538)

DIRECTORS

Mr K H Taylor BSc PhD C Eng (Chairman, appointed 1st February 1993)
(previously Executive Director)
Sir Archibald Forster BSc F Eng (Resigned as Chairman 31st January 1993)
Mr D Clayman BSc C Eng (Managing Director)
Mr J I Alcock BA MBA (Executive Director Finance)
Mr P J Dingle BSc (Appointed as Executive Director 1st February 1993)

SECRETARY

Mr A N Brown CA(SA)

REGISTERED OFFICE

Esso House
Victoria Street
London SW1E 5JW

AUDITORS

Price Waterhouse
Southwark Towers
32 London Bridge Street
London SE1 9SY

REPORT OF THE DIRECTORS

The Directors present their annual report and the audited accounts for the year ended 31 December 1993.

CHAIRMAN

Sir Archibald Forster resigned as Chairman of the Board of Directors on 31st January 1993, before retiring from the Company on the 10th February 1993 when he attained normal retirement age. Mr K H Taylor was appointed as Chairman on the 1st February 1993.

DIRECTORS

The present Directors of the Company are listed on page 1.
All the Directors retire at the Annual General Meeting and are eligible for re–election.

DIRECTORS' INTERESTS

During the year and in the period to 28th March 1994 none of the Directors had any interests in shares of any company of the Group such as would be required to be disclosed in accordance with the provisions of Schedule 7 of the Companies Act 1985.

REVIEW OF THE BUSINESS

The principal activities of the Group are the refining, distribution and marketing of petroleum products in the United Kingdom. The principal subsidiaries of the Company at 31 December 1993 are listed in note 10 to the accounts.

Although 1993 was a year of economic growth, oil demand was essentially unchanged from 1992. Competition remained intense, but some recovery in margins, strict control of costs and reduced interest rates all helped to improve financial performance.

The Company continued to meet the changing and wide ranging demands of its customers, whilst operating to the highest standards of safety, environmental performance and operational integrity.

FUTURE DEVELOPMENTS

The Group intends to remain a major refiner and marketer of petroleum products in the United Kingdom.

RESEARCH AND DEVELOPMENT

The Esso Research Centre near Abingdon is the focus of the petroleum products research effort in support of the Group's activities in the United Kingdom. The Centre has a specialist responsibility to Exxon Corporation Worldwide for research into automotive and aviation fuels and engine lubricants. A comprehensive technical support service is provided, covering crude oils, industrial fuels and lubricants, bitumens and greases. The Centre also provides research and guidance to the Group on environmental matters and is the location for research by Exxon Chemical.
The Group is also able to call on the extensive research and development resources of Exxon Corporation.

RESULTS AND DIVIDENDS

Group net profit for the year was £80.1 million. Dividends totalling £10 million were paid during the year and £70.1 million was added to reserves.

CHANGES IN FIXED ASSETS

Additions to fixed assets of the Group for the year amounted to £107.1 million. Net tangible assets were £1,516.5 million. Following the revaluation of certain assets at 31st December 1993, the revaluation reserve was reduced by £64 million to £264 million. Further details of fixed assets are provided in notes 8, 9 and 10 to the accounts.

DONATIONS

During 1993 the Group made total donations and other support to the community of £1,010,000. Of this, charitable donations amounted to £243,600. There were no political donations.

REPORT OF THE DIRECTORS

EMPLOYEE INVOLVEMENT

The Group has established over many years a comprehensive programme of employee communication and consultation. The Directors are committed to the continued involvement of employees in this way as an essential element in the Group remaining efficient and competitive. It is an integral part of management's responsibility to ensure that all employees understand the Group's objectives and the contribution that the individual can make to their achievement.

EMPLOYMENT POLICY

The Group is an equal opportunity employer and complies with all relevant legislation. It pays particular attention to measures which will encourage the employment and career development of both women and ethnic minorities.

The Group's policy is also to ensure that equal opportunities, including training, career development and promotion exist for disabled persons having regard to their particular aptitudes and abilities.

HEALTH AND SAFETY

The Group has a policy to conduct its business in a manner that protects the safety of the employees, others involved in its operations, customers and the public. The Group will strive to prevent all accidents, injuries and occupational illnesses through the active participation of every employee. The Group is committed to continuous efforts to identify and eliminate or manage safety risks associated with its activities.

ENVIRONMENTAL POLICY

The Group has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community. Further, it is the Group's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws or regulations do not exist.

AUDITORS

The auditors, Price Waterhouse, have signified their willingness to be reappointed.

By Order of the Board,
A N Brown, Secretary, 28 March 1994

STATEMENT OF DIRECTORS' RESPONSIBILITIES

ompany law requires the directors to prepare financial statements for each financial year which a true and fair view of the state of affairs of the Company and of the Group and of the profit ss of the Company and of the Group for that period. In preparing those financial statements, directors are required to

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

REPORT OF THE AUDITORS

To the members of Esso Petroleum Company, Limited.

We have audited the financial statements on pages 5 to 16 which have been prepared under the historical cost convention as modified by the revaluation of certain fixed assets and the accounting policies set out on page 5.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

As described on page 3 the Company's directors are responsible for the preparation of financial statements. It is our responsibility to form an independent opinion, based on our audit, on those statements and to report our opinion to you.

BASIS OF OPINION

We conducted our audit in accordance with Auditing Standards issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

OPINION

In our opinion the financial statements give a true and fair view of the state of affairs of the Company and of the Group as at 31 December 1993 and of the profit of the Company and of the Group for the year then ended and have been properly prepared in accordance with the Companies Act 1985.

Price Waterhouse

Price Waterhouse
Chartered Accountants
and Registered Auditors

Southwark Towers
32 London Bridge Street
London
SE1 9SY

28 March 1994

ACCOUNTING POLICIES

These financial statements have been prepared in accordance with the Companies Act 1985 and applicable Accounting Standards in the United Kingdom and are based upon the historical cost convention, except where noted below with regard to fixed assets.

The Company is a wholly owned subsidiary of Esso UK plc. FRS 1 exempts Esso Petroleum Company, Limited and subsidiaries from preparing a cash flow statement. Esso UK plc has prepared and filed a cash flow statement in accordance with FRS 1.

A summary of the main accounting policies which have been applied consistently is set out below.

BASIS OF CONSOLIDATION

The Group accounts incorporate the assets, liabilities, revenue and expenses, after adjusting for unrealised profits on intra-group transactions of the Company and its subsidiaries as shown by their accounts made up to 31 December 1993.

FOREIGN CURRENCIES

Foreign currency balance sheet items are translated at rates prevailing at the year end. Foreign currency transaction differences are included in the appropriate profit and loss account categories.

FIXED ASSETS

CLASSIFICATION

Purchased goodwill arising on acquisitions is shown as an intangible asset. All other fixed assets are considered to be tangible.

ASSET VALUATIONS

Fixed assets are valued at cost or market value. Assets held under leases which transfer substantially all the benefits and risks of ownership to the lessee (finance leases) are included at a cost equivalent to the net present value of the lease payments.

DEPRECIATION AND AMORTISATION

Depreciation and amortisation are charged to reduce the cost of each group of assets to its residual value over its expected useful life.

All assets are depreciated or amortised by equal annual instalments at rates ranging from 2 per cent to 25 per cent per annum, except for assets under construction and freehold land on which no depreciation is provided.

GOODWILL

Goodwill arising on acquisitions and recorded in the balance sheet is amortised through the profit and loss account. The Group amortises such purchased goodwill by equal annual instalments over the purchased goodwill's expected useful life, using rates between 5 and 10 per cent per annum.

STOCKS

Stocks are stated at the lower of cost and net realisable value. Cost is calculated using the first-in-first-out method, including an appropriate proportion of overheads.

PENSION COSTS

The Group operates a defined benefit pension plan, the assets of which are held in a separate trustee administered fund. Separate accounts are maintained within the plan for each participating company. The pension cost is charged to the profit and loss account so as to spread the cost over the service lives of the employees. Experience variations are spread over the average remaining service lives of current employees. The pension cost is assessed in accordance with advice of qualified actuaries.

RESEARCH AND DEVELOPMENT EXPENDITURE

Research and development expenditure is charged to income as incurred and is included in cost of sales.

DEFERRED TAXATION

Provision for deferred taxation is made in respect of timing differences using the liability method only to the extent that taxation is expected to be payable in the foreseeable future.

OPERATING LEASES

Operating lease payments are charged to the profit and loss account in the period to which they relate.

Esso Petroleum Company, *Limited and subsidiaries*

PROFIT AND LOSS ACCOUNTS

for the year ended 31 December

	Note	GROUP 1993 £m	1992 £m	COMPANY 1993 £m	1992 £m
Gross turnover – continuing operations		5,186.6	5,054.0	5,003.0	4,893.5
Excise duties and VAT		(2,870.1)	(2,647.5)	(2,812.0)	(2,590.0)
Net turnover	1	2,316.5	2,406.5	2,191.0	2,303.5
Cost of sales	2	(1,776.5)	(1,908.1)	(1,694.4)	(1,851.6)
Gross profit		540.0	498.4	496.6	451.9
Distribution costs	2	(341.9)	(344.9)	(318.1)	(314.6)
Administrative expenses	2	(34.9)	(38.0)	(34.6)	(37.9)
OPERATING PROFIT – *continuing operations*		163.2	115.5	143.9	99.4
Income from shares in group undertakings		0.0	0.0	11.1	22.6
Amounts written off fixed asset investments		0.0	0.0	0.0	(13.9)
Interest receivable	3	5.9	17.2	7.2	18.1
Interest payable	4	(63.6)	(100.1)	(64.7)	(100.3)
PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION	5	105.5	32.6	97.5	25.9
Taxation on profit on ordinary activities	7	(22.7)	(6.0)	(18.5)	(0.4)
PROFIT ON ORDINARY ACTIVITIES AFTER TAXATION		82.8	26.6	79.0	25.5
Minority interests	16	(2.7)	(2.6)	0.0	0.0
PROFIT ATTRIBUTABLE TO SHAREHOLDERS		80.1	24.0	79.0	25.5
Amounts (added to)/transferred from reserves	18	(70.1)	4.0	(69.0)	2.5
DIVIDENDS PAID		10.0	28.0	10.0	28.0

The notes on page 5 and on pages 9 to 16 form part of the financial statements.

Esso Petroleum Company, Limited and subsidiaries

BALANCE SHEETS

as at 31 December

	Note	GROUP 1993 £m	GROUP 1992 £m	COMPANY 1993 £m	COMPANY 1992 £m
FIXED ASSETS					
Intangible assets	8	18.2	20.0	0.9	1.1
Tangible assets	9	1,516.5	1,556.8	1,471.1	1,512.2
Investments	10	0.0	0.0	43.2	42.3
TOTAL FIXED ASSETS		1,534.7	1,576.8	1,515.2	1,555.6
CURRENT ASSETS					
Stocks	11	288.1	305.0	279.2	295.4
Debtors falling due within one year	12	268.9	291.6	289.3	313.4
Debtors falling due after more than one year	12	207.4	212.5	207.4	212.5
Cash at bank and in hand		3.5	17.5	0.4	16.6
TOTAL CURRENT ASSETS		767.9	826.6	776.3	837.9
CREDITORS FALLING DUE WITHIN ONE YEAR	13	(694.4)	(723.6)	(692.7)	(721.6)
NET CURRENT ASSETS		73.5	103.0	83.6	116.3
TOTAL ASSETS LESS CURRENT LIABILITIES		1,608.2	1,679.8	1,598.8	1,671.9
CREDITORS FALLING DUE AFTER MORE THAN ONE YEAR	13	664.5	742.6	664.5	742.6
PROVISIONS FOR LIABILITIES AND CHARGES	15	6.3	6.1	0.0	0.0
MINORITY INTERESTS	16	3.4	3.2	0.0	0.0
CAPITAL AND RESERVES					
Called up share capital	17	228.4	228.4	228.4	228.4
Revaluation reserve	18	264.0	329.0	264.0	329.0
Profit and loss account	18	441.6	370.5	441.9	371.9
TOTAL CAPITAL AND RESERVES	19	934.0	927.9	934.3	929.3
		1,608.2	1,679.8	1,598.8	1,671.9

The notes on page 5 and on pages 9 to 16 form part of the financial statements.

Mr K H Taylor Director
Mr J I Alcock Director

28 March 1994

STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES

for the year ended 31 December

	GROUP 1993	1992	COMPANY 1993	1992
	£m	£m	£m	£m
PROFIT ATTRIBUTABLE TO SHAREHOLDERS	80.1	24.0	79.0	25.5
Unrealised deficit on revaluation of properties	(64.0)	0.0	(64.0)	0.0
TOTAL RECOGNISED GAINS AND LOSSES FOR THE YEAR	16.1	24.0	15.0	25.5

There is no material difference between the reported profit on ordinary activities before taxation and the historical cost profit on ordinary activities before taxation for either the Group or the Company.

NOTES TO THE ACCOUNTS

1 TURNOVER

Turnover consists of sales of crude oil, natural gas, petroleum products and related goods and services.

	GROUP		COMPANY	
	1993	1992	1993	1992
NET TURNOVER	£m	£m	£m	£m
U.K	2,067.9	2,142.5	1,947.0	2,046.3
Europe	217.3	139.1	213.4	134.8
Rest of the World	31.3	124.9	30.6	122.4
TOTAL	2,316.5	2,406.5	2,191.0	2,303.5

The Group's turnover and profit before tax is all related to the oil and gas business.

2 CATEGORIES OF COSTS

All costs relate to continuing operations

COST OF SALES

Cost of sales represents the cost of crude oil, petroleum products and related goods and services sold during the year, including research and manufacturing costs, and the cost, including freight, of purchases from third parties.

DISTRIBUTION COSTS

Distribution costs represent the costs of marketing and transporting petroleum products and related goods and services.

ADMINISTRATIVE EXPENSES

Administrative expenses relate to expenses of general management and related staff activities pertaining to the administration of the overall business.

3 INTEREST RECEIVABLE

	GROUP		COMPANY	
	1993	1992	1993	1992
	£m	£m	£m	£m
Amounts receivable from subsidiary and other Exxon group undertakings	3.6	14.9	5.1	16.2
Other	2.3	2.3	2.1	1.9
TOTAL	5.9	17.2	7.2	18.1

4 INTEREST PAYABLE

	GROUP		COMPANY	
	1993	1992	1993	1992
	£m	£m	£m	£m
Amounts payable to subsidiary and other Exxon group undertakings	58.1	95.4	59.3	95.8
Interest payable on bank and other borrowings wholly repayable within five years	0.8	1.4	0.7	1.2
Interest payable on finance leases	4.7	3.3	4.7	3.3
TOTAL	63.6	100.1	64.7	100.3

NOTES TO THE ACCOUNTS

5 PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

	GROUP 1993	GROUP 1992	COMPANY 1993	COMPANY 1992
	£m	£m	£m	£m
This is stated after charging the following amounts :				
Auditors' remuneration – audit fees	0.3	0.3	0.2	0.3
– other fees	0.0	0.1	0.0	0.1
Operating leases – hire of plant and machinery	4.1	6.7	3.6	6.3
– other	5.5	0.2	5.2	0.0
Depreciation and amortisation – owned assets	69.4	66.8	64.4	63.0
– assets held under finance leases	1.9	1.9	1.9	1.9
Research and development	10.0	11.1	10.0	11.0
Wages and salaries	127.6	132.8	121.9	127.0
Social security costs	10.2	10.1	9.6	9.6
Other pension costs (see note 6)	30.1	16.1	30.1	16.1
EMOLUMENTS	£000	£000	£000	£000
Aggregate pre–tax emoluments of chairman and other directors	519	467	519	467
Chairman's emoluments, excluding pension contributions				
– Chairman to 31 January 1993	51	156	51	156
– Chairman from 1 February 1993	113	0	113	0
Emoluments of highest paid director, excluding pension contributions	197	174	197	174

Wages and salaries, social security and other pension costs shown above include amounts payable to employees seconded to Esso Exploration and Production UK Limited.

The number of directors, including the chairman and the highest paid director, who received emoluments (excluding pension contributions) in the following ranges is given in the table below. After tax incomes are shown at the mid–point of each band using appropriate 1993/1994 tax rates. For the purpose of the calculation recipients are assumed to be married men with no other income.

GROSS INCOME			After tax	Number of Directors	
£		£	£	1993	1992
10,001	–	15,000	10,792		1
20,001	–	25,000	18,292	1	
50,001	–	55,000	37,247	1	
80,001	–	85,000	55,247	1	1
110,001	–	115,000	73,247	1	
155,001	–	160,000	100,247		1
170,001	–	175,000	109,247		1
195,001	–	200,000	124,247	1	

6 PENSIONS

At the beginning of 1993 the market value of the assets of the fund was £568 million (1992 : £516 million). The actuarial value of the assets on the funding basis, after accelerated deficit funding, was in January 1994, sufficient to cover 100% of the benefits that had accrued to members, after allowing for future increases in salaries. The deficit funding arose from the latest full actuarial valuation at December 1992 which had indicated 92% coverage. At the end of January 1994 on an actuarial funding basis the plan was fully funded.

The 1992 actuarial valuation assumed that investment returns would be 2.5% higher than salary increases and that dividend growth would be 2.0% lower than salary increases. No allowance was made for increases to pensions in payment.

Pension costs for 1993 were £30.1 million (1992 : £16.1 million). This increase in pension costs reflects the recognition of the deficit arising from the 1992 actuarial valuation. A prepayment of £78.7 million (1992 : £65.9 million) in respect of pension costs is included in debtors. Contributions to the fund in 1993 represented 10.2% of pensionable pay, exclusive of accelerated deficit funding and the funding of increases to pensions in payment.

NOTES TO THE ACCOUNTS

7 TAXATION ON PROFIT ON ORDINARY ACTIVITIES	GROUP 1993	GROUP 1992	COMPANY 1993	COMPANY 1992
	£m	£m	£m	£m
UK Corporation Tax – current year	24.2	3.1	18.4	0.0
– prior years	(1.7)	2.4	(1.3)	0.4
– deferred	0.2	0.5	0.0	0.0
Tax attributable to franked investment income	0.0	0.0	1.4	0.0
TOTAL CHARGE/(CREDIT)	22.7	6.0	18.5	0.4

Corporation tax has been calculated at 33% on the profit for the year (1992 : 33%).

If a full deferred tax provision had been made, the total tax charge for the Group for 1993 would have been £48.6 million (1992 : £32.9 million) compared with £22.7 million above.

8 INTANGIBLE ASSETS

GROUP

	Goodwill	Other	Total
	£m	£m	£m
COST			
Balance at beginning of year	24.7	4.6	29.3
Additions	0.0	0.2	0.2
BALANCE AT END OF YEAR 1993	24.7	4.8	29.5
DEPRECIATION			
Balance at beginning of year	5.8	3.5	9.3
Charge for year	1.6	0.4	2.0
BALANCE AT END OF YEAR 1993	7.4	3.9	11.3
NET BOOK VALUE AT 31 DECEMBER 1993	17.3	0.9	18.2
NET BOOK VALUE AT 31 DECEMBER 1992	18.9	1.1	20.0

COMPANY

	Other	Total
	£m	£m
COST		
Balance at beginning of year	4.6	4.6
Additions	0.2	0.2
BALANCE AT END OF YEAR 1993	4.8	4.8
DEPRECIATION		
Balance at beginning of year	3.5	3.5
Charge for year	0.4	0.4
BALANCE AT END OF YEAR 1993	3.9	3.9
NET BOOK VALUE AT 31 DECEMBER 1993	0.9	0.9
NET BOOK VALUE AT 31 DECEMBER 1992	1.1	1.1

NOTES TO THE ACCOUNTS

9 TANGIBLE ASSETS

GROUP

	Land & Buildings £m	Plant & Equipment £m	Assets Under Construction £m	Total £m
COST OR VALUATION				
Balance at beginning of year	714.9	1,271.4	107.4	2,093.7
Additions / (net completions)	43.1	90.7	(26.9)	106.9
Revaluation surplus realised on disposal	(1.0)	0.0	0.0	(1.0)
Revaluation during year	(64.0)	0.0	0.0	(64.0)
Disposals	(3.4)	(22.0)	(2.8)	(28.2)
BALANCE AT END OF YEAR 1993	689.6	1,340.1	77.7	2,107.4
DEPRECIATION				
Balance at beginning of year	68.9	468.0	0.0	536.9
Charge for year	9.5	59.8	0.0	69.3
Disposals	(1.5)	(13.8)	0.0	(15.3)
BALANCE AT END OF YEAR 1993	76.9	514.0	0.0	590.9
NET BOOK VALUE AT 31 DECEMBER 1993	612.7	826.1	77.7	1,516.5
NET BOOK VALUE AT 31 DECEMBER 1992	646.0	803.4	107.4	1,556.8

COMPANY

	Land & Buildings £m	Plant & Equipment £m	Assets Under Construction £m	Total £m
COST OR VALUATION				
Balance at beginning of year	708.4	1,185.2	104.3	1,997.9
Additions / (net completions)	43.1	84.5	(24.7)	102.9
Revaluation surplus realised on disposal	(1.0)	0.0	0.0	(1.0)
Revaluation during year	(64.0)	0.0	0.0	(64.0)
Disposals	(3.4)	(22.0)	(2.8)	(28.2)
BALANCE AT END OF YEAR 1993	683.1	1,247.7	76.8	2,007.6
DEPRECIATION				
Balance at beginning of year	68.1	417.6	0.0	485.7
Charge for year	9.5	56.4	0.0	65.9
Disposals	(1.5)	(13.6)	0.0	(15.1)
BALANCE AT END OF YEAR 1993	76.1	460.4	0.0	536.5
NET BOOK VALUE AT 31 DECEMBER 1993	607.0	787.3	76.8	1,471.1
NET BOOK VALUE AT 31 DECEMBER 1992	640.3	767.6	104.3	1,512.2

Included in the tangible assets for both Group and Company are assets with a net book value of £2.6 million (1992 : £3.4 million) which have been identified as surplus to requirements, assets with a net book value of £16.0 million (1992 : £28.4 million) held under finance leases, and £33.7 million (1992 : £35.4 million) of assets subject to an option agreement which allows the lessor to purchase them for a nominal amount should there be any interruption in loan payments.

As at 31 December 1993 certain assets with a historical cost of £133 million were revalued by a member of the Royal Institute of Chartered Surveyors employed by Esso Petroleum Company, to a total open market value, for existing use, of £397 million.

NOTES TO THE ACCOUNTS

9 TANGIBLE ASSETS (Continued)

The net book value of land and buildings comprises:

	GROUP 1993	GROUP 1992	COMPANY 1993	COMPANY 1992
	£m	£m	£m	£m
Freehold	573.4	584.4	568.1	578.9
Long leasehold	19.0	24.5	18.8	24.5
Short leasehold	20.3	37.1	20.1	36.9
TOTAL	612.7	646.0	607.0	640.3

10 INVESTMENTS

	COMPANY
SHARES IN GROUP UNDERTAKINGS	£m
Balance at beginning of year	42.3
Additions	1.8
Write down of investments	(0.9)
BALANCE AT END OF YEAR 1993	43.2

Details of the principal companies in which the Group or the Company holds 10% or more of any class of equity share capital or 10% or more of the total allotted share capital are given below:

NAME OF COMPANY	Class of Shares	Proportion of Shares & Voting Rights
SUBSIDIARY UNDERTAKINGS		
Armley Road Services Limited	Ordinary	100%
Bridgecrown Limited	Ordinary	100%
Butterworth Systems (UK) Limited	Ordinary	100%
Cleveland Petroleum Company Limited	Ordinary	100%
Comma Oil and Chemicals Limited	Ordinary	100%
Dart Oil Company Limited	Ordinary	100%
Esso Marine U.K. Limited	Ordinary	100%
Esso Pension Trust Limited	Ordinary	100%
Essogas Limited	Ordinary	100%
F & F Robinson (Service) Limited	Ordinary	100%
Ironbrace Limited	Ordinary	100%
Kirkhams Garage Limited	Ordinary	100%
Mainline Pipelines Limited	Ordinary	65%
Mode Wheel Property Limited	Ordinary	74.9%
Redline Oil Services Limited	Ordinary	100%
Retail Petroleum Services Limited	Ordinary	100%
Saygas Limited	Ordinary	100%
Sigas Limited	Ordinary	100%
ASSOCIATED UNDERTAKING		
Manchester Airport Storage and Hydrant Company Limited	Ordinary	25%
OTHER INVESTMENTS		
Heathrow Hydrant Operating Company Limited	Ordinary	10%
Stansted Fuelling Company Limited	Ordinary	14.3%

The accounts of all the companies in the above list have been included in the Group accounts. All the companies operate in the United Kingdom, are registered in England and Wales and have principal activities related to the oil and gas business.

Butterworth Systems (UK) Limited, Kirkhams Garage Limited, Manchester Airport Storage and Hydrant Company Limited and Heathrow Hydrant Operating Company Limited were acquired during the year ended 31st December 1993.

NOTES TO THE ACCOUNTS

11 STOCKS

	GROUP 1993	1992	COMPANY 1993	1992
	£m	£m	£m	£m
Raw materials and consumables	76.0	86.5	75.7	86.1
Work in progress	35.8	46.3	35.8	46.3
Finished goods and goods for resale	176.3	172.2	167.7	163.0
TOTAL	288.1	305.0	279.2	295.4

The replacement cost of all categories of stocks held by the Group at 31 December 1993 was £300.2 million.

12 DEBTORS

	GROUP 1993	1992	COMPANY 1993	1992
	£m	£m	£m	£m
AMOUNTS FALLING DUE WITHIN ONE YEAR				
Trade debtors	202.8	182.5	193.3	174.1
Amounts owed by other Exxon group undertakings	21.7	84.8	21.7	84.8
Amounts owed by subsidiary undertakings	0.0	0.0	31.1	33.0
Other debtors	12.9	6.8	12.0	4.3
Prepayments and accrued income	31.5	17.5	31.2	17.2
TOTAL	268.9	291.6	289.3	313.4
AMOUNTS FALLING DUE AFTER ONE YEAR				
Other debtors	30.2	35.6	30.2	63.0
Prepayments and accrued income	177.2	176.9	177.2	149.5
TOTAL	207.4	212.5	207.4	212.5

13 CREDITORS

	GROUP 1993	1992	COMPANY 1993	1992
	£m	£m	£m	£m
AMOUNTS FALLING DUE WITHIN ONE YEAR				
Bank loans and overdrafts	45.2	44.3	45.2	44.3
Obligations under finance leases	5.9	7.8	5.9	7.8
Trade creditors	150.4	125.4	142.8	121.9
Amounts owed to other Exxon group undertakings				
– trade accounts	104.9	77.2	104.9	166.2
– short term loans	155.6	262.1	155.6	172.5
Amounts owed to subsidiary undertakings	0.0	0.0	12.3	12.5
Other creditors	2.2	2.8	2.2	0.0
Taxation and social security	228.0	199.1	221.6	191.5
Accruals and deferred income	2.2	4.9	2.2	4.9
TOTAL	694.4	723.6	692.7	721.6
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR				
Long and medium term loans (note 14)	651.1	734.5	651.1	734.5
Accruals and deferred income	13.4	8.1	13.4	8.1
TOTAL	664.5	742.6	664.5	742.6

14 LONG AND MEDIUM TERM LOANS

	GROUP 1993	1992	COMPANY 1993	1992
	£m	£m	£m	£m
REPAYABLE IN ONE TO FIVE YEARS				
Obligations under finance leases	20.7	22.0	20.7	22.0
Amounts owed to other Exxon group undertakings	620.1	695.1	620.1	695.1
REPAYABLE AFTER FIVE YEARS				
Obligations under purchase arrangements secured on certain service stations	0.1	0.1	0.1	0.1
Obligations under finance leases	10.2	17.3	10.2	17.3
TOTAL	651.1	734.5	651.1	734.5

NOTES TO THE ACCOUNTS

15 PROVISIONS FOR LIABILITIES AND CHARGES

DEFERRED TAXATION	GROUP £m	COMPANY £m
CAPITAL ALLOWANCES IN EXCESS OF DEPRECIATION		
Balance at beginning of year	6.1	0.0
Charge against profit	0.2	0.0
BALANCE AT END OF YEAR 1993	6.3	0.0

The potential amount of deferred taxation payable for all timing differences was as follows:	GROUP 1993 £m	GROUP 1992 £m	COMPANY 1993 £m	COMPANY 1992 £m
Capital allowances in excess of depreciation	199.1	186.6	190.3	178.3
Other timing differences	47.8	34.2	47.9	33.4
TOTAL	246.9	220.8	238.2	211.7

The revaluation of certain assets does not constitute a timing difference and therefore the potential amount of deferred tax on the revalued assets has not been quantified.

16 MINORITY INTERESTS

	GROUP £m
Balance at beginning of year	3.2
Current year profit	2.7
Dividends paid	(2.5)
BALANCE AT END OF YEAR 1993	3.4

17 CALLED UP SHARE CAPITAL AT BEGINNING AND END OF YEAR

Ordinary shares of £1 each – authorised	229,000,000
– allotted and fully paid	228,385,200

18 RESERVES

PROFIT AND LOSS ACCOUNT	GROUP £m	COMPANY £m
Balance at beginning of year	370.5	371.9
Amounts added to reserves	70.1	69.0
Transfer from revaluation reserve	1.0	1.0
BALANCE AT END OF YEAR 1993	441.6	441.9

REVALUATION RESERVE	GROUP £m	COMPANY £m
Balance at beginning of year	329.0	329.0
Revaluation during year	(64.0)	(64.0)
Amount transferred to profit and loss account on disposal	(1.0)	(1.0)
BALANCE AT END OF YEAR 1993	264.0	264.0

19 RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	GROUP 1993 £m	GROUP 1992 £m	COMPANY 1993 £m	COMPANY 1992 £m
Profit attributable to shareholders	80.1	24.0	79.0	25.5
Dividends paid	(10.0)	(28.0)	(10.0)	(28.0)
Revaluation during year	(64.0)	0.0	(64.0)	0.0
Net addition to/(reduction in) shareholders' funds	6.1	(4.0)	5.0	(2.5)
Opening shareholders' funds	927.9	931.9	929.3	931.8
CLOSING SHAREHOLDERS' FUNDS	934.0	927.9	934.3	929.3

NOTES TO THE ACCOUNTS

20 CAPITAL COMMITMENTS

	GROUP 1993	1992	COMPANY 1993	1992
	£m	£m	£m	£m
Estimated commitments under contracts for capital expenditure not provided for in these accounts amounted to	23.2	23.6	23.2	22.7
Capital expenditure additionally authorised by the directors as at 31 December amounted to	50.0	119.7	48.3	117.8
TOTAL	73.2	143.3	71.5	140.5

21 COMMITMENTS UNDER OPERATING LEASES

GROUP	1993 Land & Buildings	1993 Other	1992 Land & Buildings	1992 Other
At 31 December annual commitments under operating leases were as follows:				
Operating leases which expire:	£m	£m	£m	£m
Within one year	0.1	1.4	0.5	0.0
In one to five years	0.5	0.0	1.5	1.5
After five years	3.8	0.0	3.7	0.0
TOTAL	4.4	1.4	5.7	1.5

COMPANY	1993 Land & Buildings	1993 Other	1992 Land & Buildings	1992 Other
At 31 December annual commitments under operating leases were as follows:				
Operating leases which expire:	£m	£m	£m	£m
Within one year	0.1	1.4	0.5	0.0
In one to five years	0.4	0.0	1.3	1.1
After five years	3.8	0.0	3.7	0.0
TOTAL	4.3	1.4	5.5	1.1

22 CONTINGENT LIABILITIES

	GROUP 1993	1992	COMPANY 1993	1992
	£m	£m	£m	£m
Guarantees	1.7	3.8	1.7	3.8
TOTAL	1.7	3.8	1.7	3.8

23 EMPLOYEES

The average number of persons employed during the year was:	GROUP 1993	1992	COMPANY 1993	1992
Marketing, Refining and Transportation	3,880	3,884	3,483	3,512
Assigned to Esso Exploration and Production UK Limited	278	291	278	291
TOTAL	4,158	4,175	3,761	3,803

24 ULTIMATE HOLDING COMPANY

The immediate holding company is Esso UK plc, incorporated and registered in England and Wales. The ultimate holding company is Exxon Corporation, incorporated in New Jersey, USA. The smallest group of which the company is a member and for which group accounts are prepared is Esso UK plc. Accounts can be obtained from Esso UK plc, Esso House, Victoria Street, London SW1E 5JW. The largest group of which the company is a member and for which group accounts are prepared is Exxon Corporation. Accounts can be obtained from Exxon Corporation, 225 Shareholder Relations, Post Office Box 160369, Irving, Texas 75016–0369, USA.